



Lesson 8

- Law of Agency
- Duties of Real Estate Salespersons
- Prescribed Estate Agency Agreements

SEAA has made reasonable efforts to ensure all information provided in the notes is accurate at the time of print. Do be informed this standard set of course material you have received is provided for all students attending our intakes.

* For online Zoom lessons, trainers may have their own additional slides on top of the given set for further illustration to students to aid them in their online lesson. Students will be responsible to write down, screenshot or take pictures of those additional slides/notes on their own. Those additional slides/notes will not be provided by SEAA.*

Law of Agency

1. Who is an agent and what does he do ?
2. What is the meaning of Agency ?



1. Principal is **legally bound by** Acts of the Agent.
 2. Legal obligations to Third Party who has dealt with the Agent
1. Intermediary
 2. **Authority**
 3. **Acting on behalf of Principal**

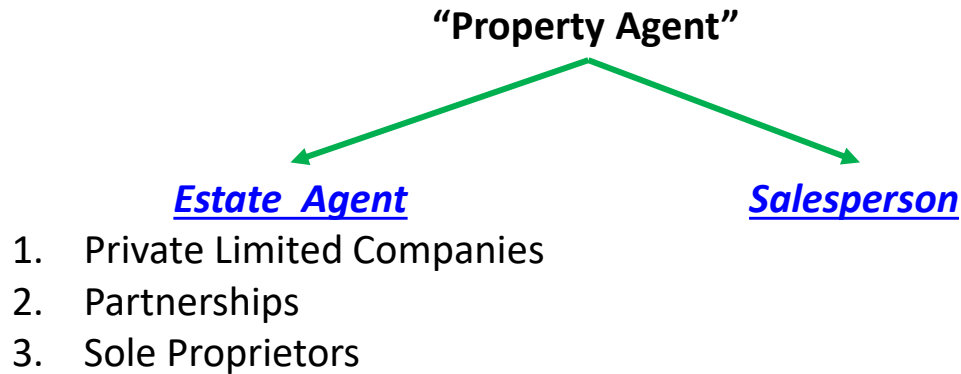
Examples of Agency

1. Insurance Agency
2. Tour Agency
3. Maid Agency
4. Employment Agency
5. Marketing Agency

Examples of **Agent** and **Principal**

1. **CEO** & **Company**
2. **Parents** & **Child**
3. **Trustees** & **Beneficiaries**
4. **Stock Brokers** & **Investors**
5. **Tax Officers** & **IRAS**

Legal Definition of Singapore Real Estate Agent

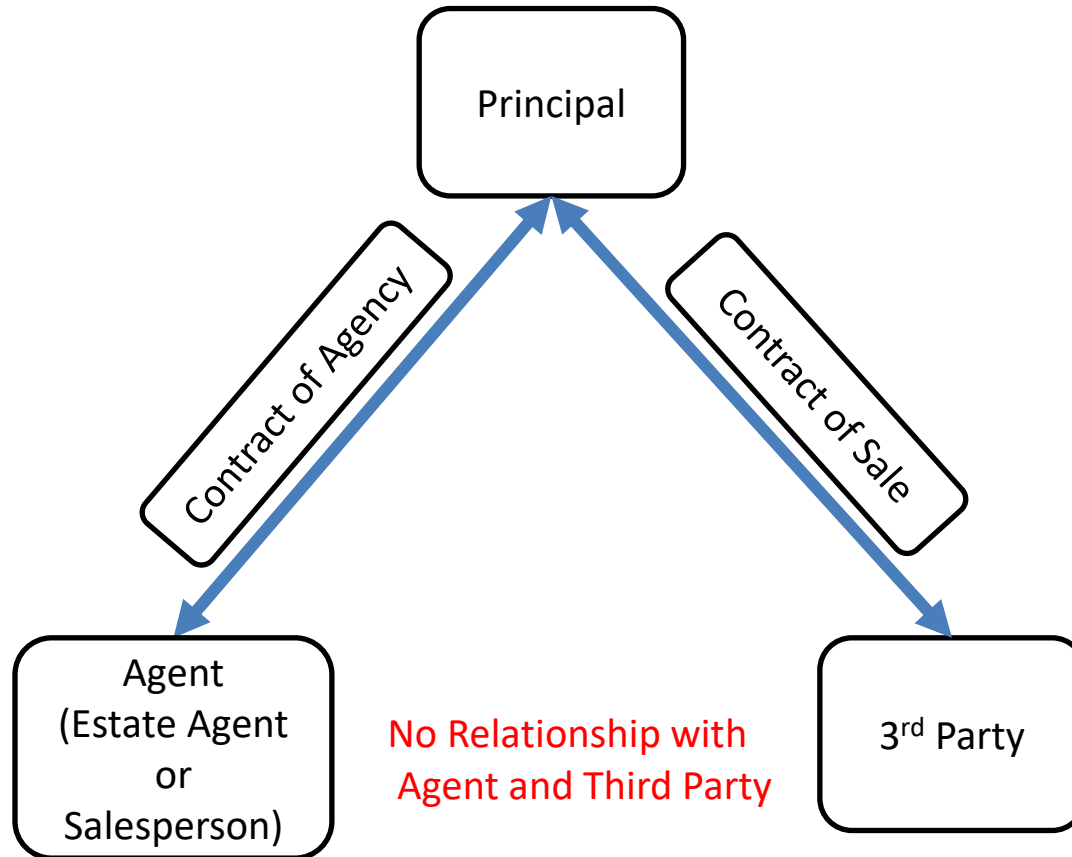


- **Principal** appoint **Estate Agent**
- **Govern by Estate Agent Act**
- No authority to act for principal
- Owes **duties** to principal

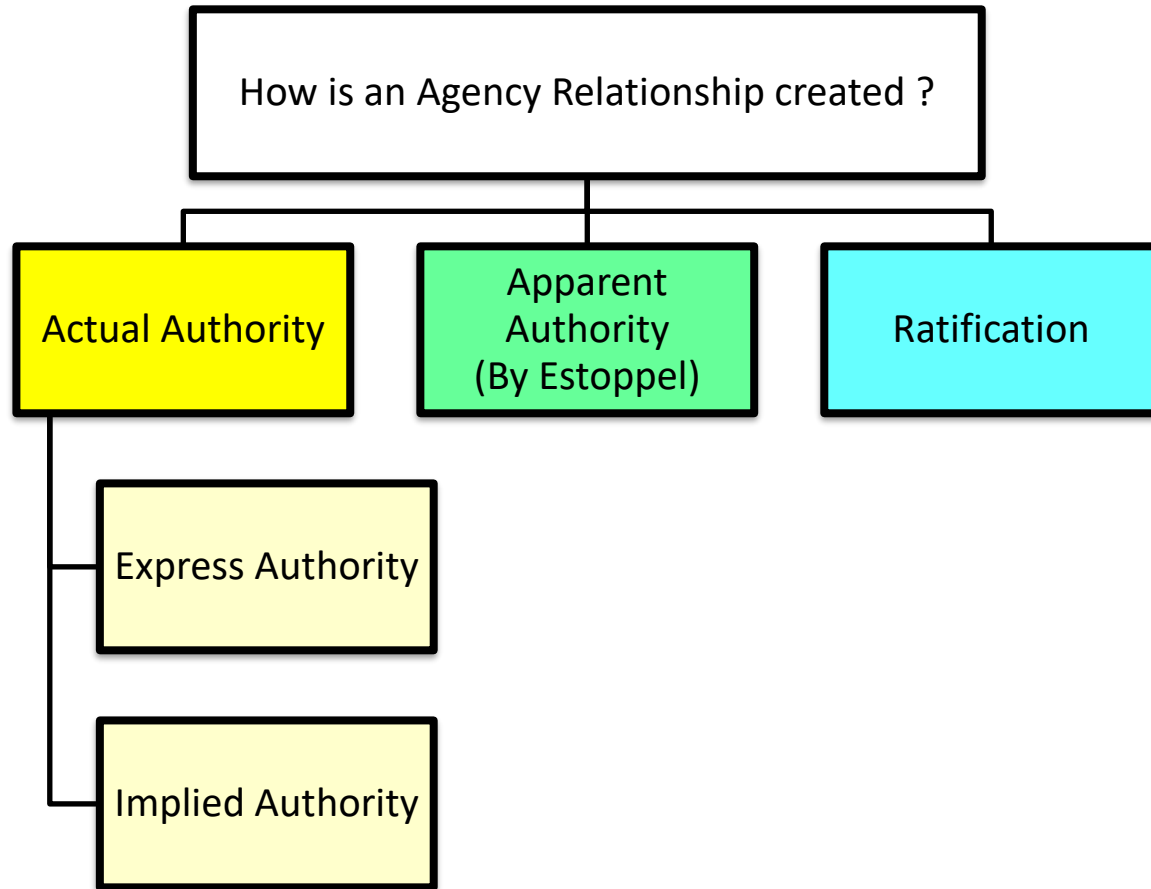
What can is estate agent do ?

- Market
- Introduce
- Negotiate

Legal Definition of Singapore Real Estate Agent



Creation of Agency Relationship



Creation of Agency Relationship – Express Authority

1. Express Authority

- Consent given by Principal & Agent
- Created by express authorization → Act with authority on behalf of Principal
 1. Verbally
 2. Written
 3. Mixture of verbal and written

Example 1: Written

The Principal and Salesperson signed a Prescribe Exclusive Estate Agency Agreement; therefore the salesperson is authorized to market or negotiate on behalf client

Example 2: Verbally by Client

The Principal said to salesperson “I am appointing you to help me find a buyer / tenant for my house” and the salesperson agreed and was authorized.

Creation of Agency Relationship – Implied Authority

2. Implied Authority

- Principal does not expressly tell the agent that the agent has been conferred authority to act.
- Instead the acts of the principal and the agent are such that it is clear that the principal has consented to the agent having some authority and the agent has agreed.
(Conduct, action and behavior of the parties)

Example 3

The developer employed Tony as a sales executive and assigned him to work at a show-flat. He wears the company's uniform to work daily. A buyer entered the show-flat and approached Tony, indicating his wish to buy a unit. Naturally, Tony has implied authority to act on behalf of his employer to sell the unit to the buyer and sign the contract on behalf of his employer (the developer).

Example 4

The landlord puts up a property advertisement looking for a tenant. The salesperson contacted the landlord and asked whether he would object if the salesperson did the following:

- a) Advertise his property
- b) Bring tenants to see his property
- c) Claim a commission for securing a tenant

The landlord does not object. The salesperson has implied authority to act on behalf of the landlord

Creation of Agency Relationship – Implied Authority



Example 5

The father (owner of the property) tells the son (salesperson) to find a buyer. Naturally, the son (salesperson) has implied authority to act on behalf of his father in the following ways:

- a) Market the property
- b) Introduce buyers
- c) Negotiate with the buyers
- d) Prepare the contract

Example 6

The Chief Marketing Officer of ABC Real Estate Agency Pte Ltd is discussing and negotiating with a local developer to market one of the most prestigious properties in Singapore. It is impliedly understood that he has the authority to negotiate the commission rate and sign the contract on behalf of ABC Real Estate Agency Pte Ltd with the developer.

Creation of Agency Relationship

3. Apparent Authority

- a) No express or implied authority
- b) An agent who appears to have authority
- c) Third party has acted on the faith of such appearance of authority
→ enter a contract with the agent
- d) This appearance of authority exist because something that the `principal` did or said.
In other words, a representation by the `principal`.
- e) If the third party relies on this representation and enters into a contract with the `agent` believing that the `agent` is acting on behalf of the `principal`, **the `principal` is bound** (“estopped” from disclaiming the agency).

Note:

1. An agent **cannot make representations** as to his own authority and bind the principal by what the agent himself says. The appearance of authority must have arisen because of what the `principal` did.
2. A principal has a duty to correct a third party's mistaken belief in an agent's authority to act on the principal's behalf.
3. If the principal could have corrected the misunderstanding **but failed to do so**, he is estopped from denying the existence of the agency and is bound by the agent's acts in dealing with the third party.

Creation of Agency Relationship – Apparent Authority



Example 7

Kelvin may have been appointed to act as Ali's agent.

- a) The agency is later **terminated** by Ali but Kelvin **continues to act** as if he was Ali's agent and **enters into a contract with buyer** who does not know about the termination of the agency.
- b) Ali is nonetheless bound by Kelvin's act.

Example 8

Mary never appointed Sharon as her agent

- a) but Mary **allowed** Sharon to **act** as if she was her agent or **led the Buyer to believe** that Sharon was Mary's agent.
- b) In such circumstances, Mary will be legally bound to the buyer if this Buyer enters a transaction with Sharon purportedly acting on behalf of Mary within the scope of Mary's apparent authority.

Creation of Agency Relationship

4. Ratification

- a) Agency is created **with effective from a past date**
- b) Agent **does not have actual authority**
- c) Principal cannot rely on the agent **unauthorised agreement** since the agent was not authorized to perform those acts.
- d) If the principal wishes to enforce the contract that agent has entered into
→ **the principal must adopt what the agent has done.**
- e) An **unappointed** agent can be appointed subsequently by the principal through **ratification**
- f) Doctrine of ratification** allows a principal to adopt **agent's past acts**.
- g) The **appointment** of the agent is **backdated** to the time when the agent performed his act.

How does it works ?

- principal retrospectively gives the agent with authority (back dated)
- then the law then proceeds on the basis that the agent had authority from the start.

Breach Of Warranty Of Authority



1. Agents **warrant to third parties** that they are properly **authorized** to **act on behalf** of their principals.
2. If an unauthorized agent enters into a contract, the third party may sue the agent for losses suffered due to the agent's lack of authority.

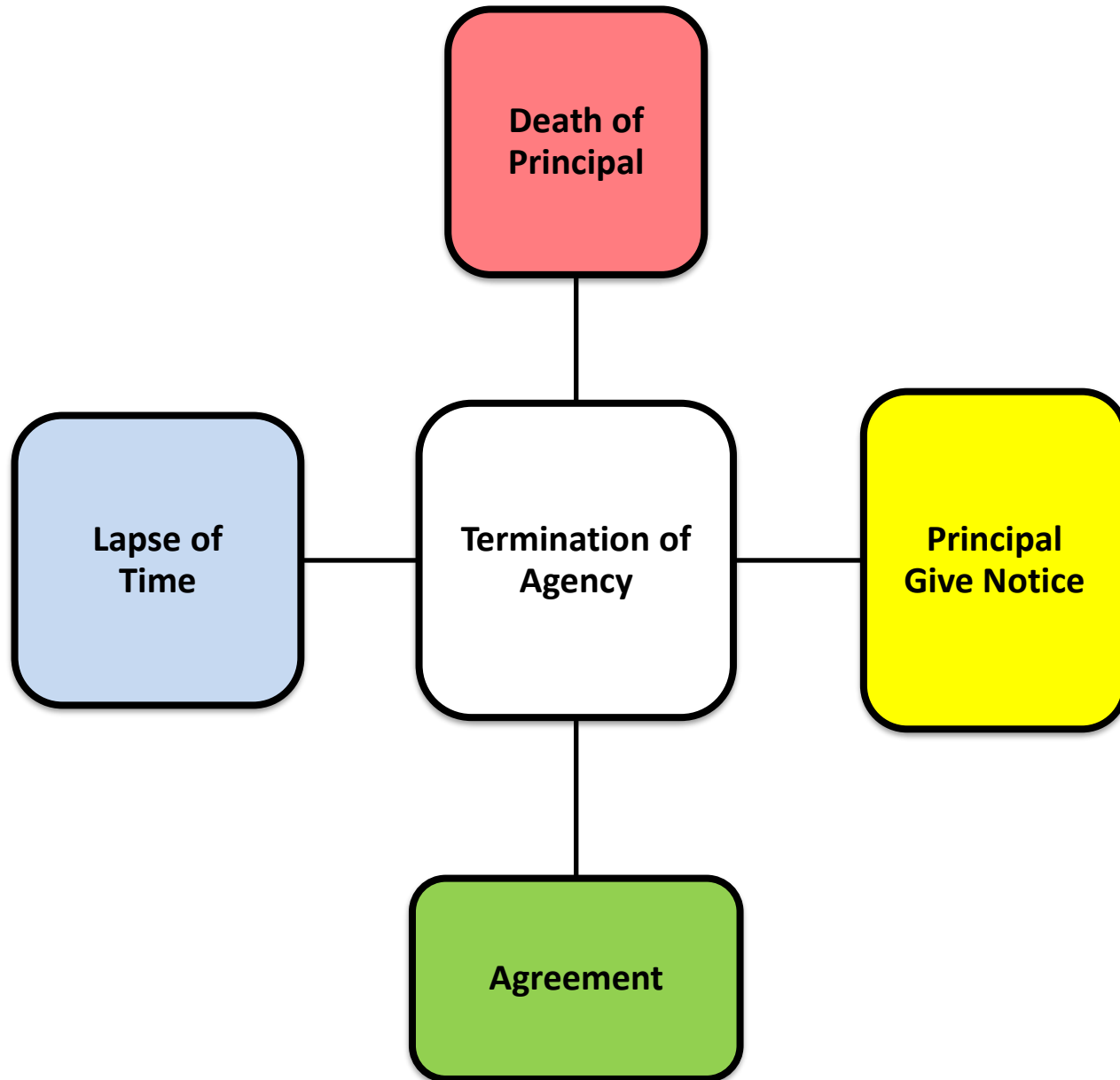
Example 9

The agent was not instructed to sell the house, and the seller did not authorize the buyer to contact the agent. The agent simply marketed the house and placed an advertisement without the seller's consent. He closed the deal and collected a deposit from the buyer. The seller denied the sale. The buyer can sue the agent for breach of warranty of authority

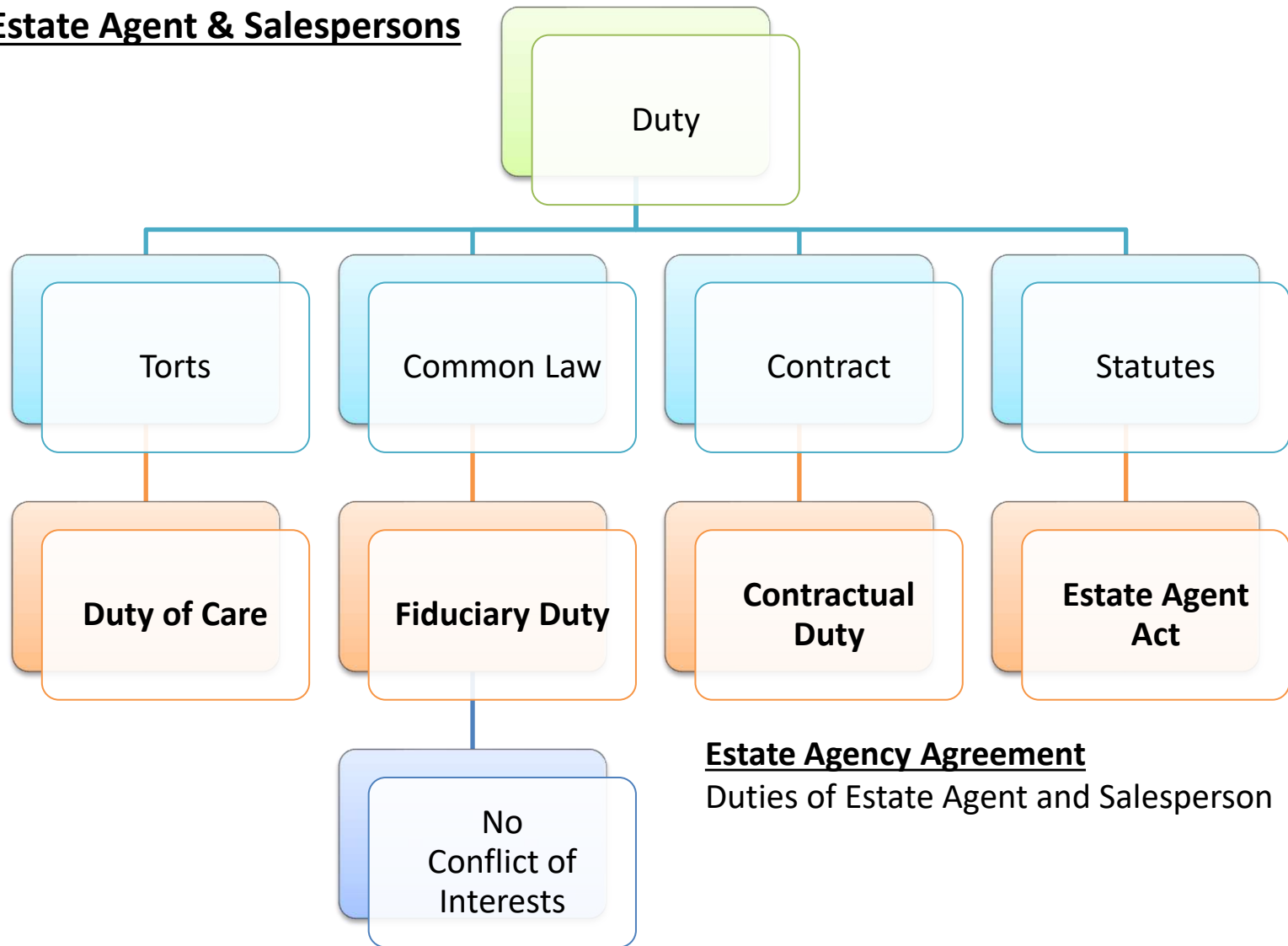
Important Notes:

1. Agent **exceeds the authority** conferred by principal and causes losses.
 - principal **claim** against the agent
2. Once principal and third party enters a contract, the agent drops out of the picture
3. Agents are indemnified for liabilities reasonably incurred in the execution of the agents' authority (**exception to Breach of Warranty of Authority**)
4. Salespersons **cannot act** as Power of Attorney (POA) for clients (principal)

Termination Of Agency



Duty of Estate Agent & Salespersons



Estate Agency Agreement

Duties of Estate Agent and Salesperson

Important Notes:

In execution of duties and obligations arising from agency contracts, it is expected that the parties of the contract conduct themselves in the highest degree of faithfulness → '**Ubertimae Fidei**'

Fiduciary Duties of the Estate Agent & Salesperson



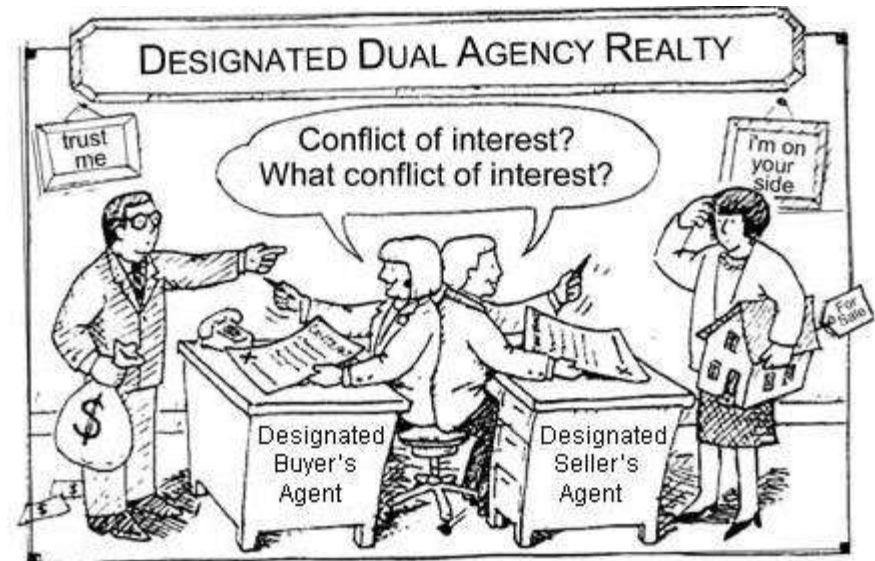
What is a fiduciary duty ?

A fiduciary duty is the highest standard of care expected of a person at law.

A fiduciary is an individual who owes a strict legal duty to the principal based on circumstances which give rise to a relationship of trust and confidence.

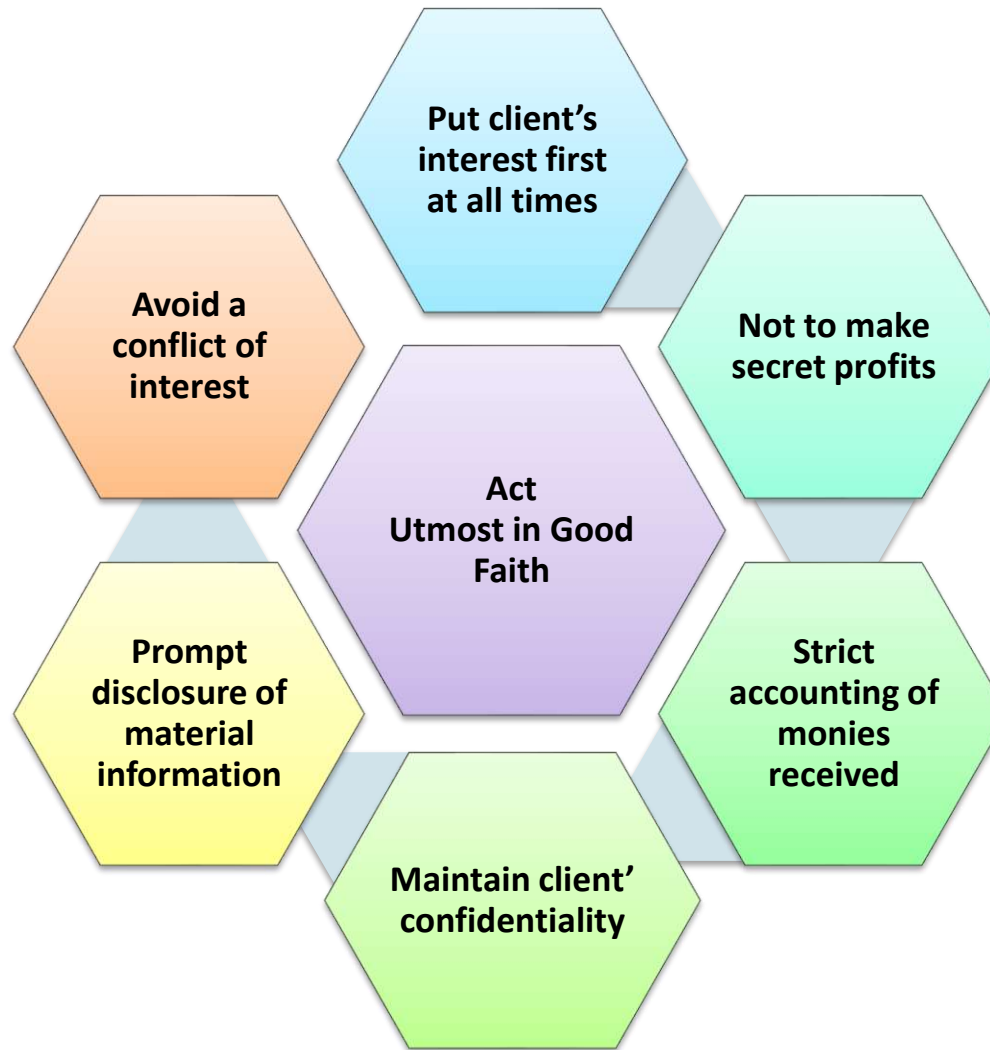
He/She is expected to be completely loyal to principal and is bound by strict legal obligations on the fiduciary including the following:

1. Duty to act in good faith towards the principal
2. Duty to avoid a conflict of interest
3. Duty not to profit from agent's position



Opposing Teams. Same Locker Room???

Examples



Case Study: [Secret Profit](#)



THE STRAITS TIMES FRIDAY, FEBRUARY 6 2009

Judge orders ERA to pay couple \$257,000



High Court judge Choo Han Teck blasted unethical housing agents yesterday, when he ruled in favour of Mr and Mrs Yuen Chow Hin (above) who were shocked to learn how an ERA agent fixed the sale of their flat to his boss' wife at a low price. [SEE PRIME PAGE A11](#) PHOTO: LIANHE ZAOBAO

Mr Yuen Chow Hin and Madam Wong Wai Fan

WHEN a married couple sold their downtown apartment for \$688,000 in 2007, they thought it was the best deal they were going to find. But soon after they granted the buyer the right to purchase the property, the two-bedroom Keng Cheow Street apartment was re-sold for \$945,000.

It was only later that Mr Yuen Chow Hin and Madam Wong Wai Fan found out about the second deal.

They also learnt that the woman who bought their flat - and flipped it for a healthy profit - was married to the manager of their real estate salesperson.

ERA told to return \$257,000 to couple

Judge slams unethical agents who 'flip' properties for profit

By SELINA LUM

A HIGH Court judge yesterday criticised the unethical behaviour of two ERA Realty Network agents and ordered the return of \$257,000 to a couple who used the agency to sell their apartment.

Mr Yuen Chow Hin, an IT company vice-president, and his wife, Madam Wong Wai Fan, a housewife, had let go of their two-bedroom downtown flat at \$688,000. They took their ERA agent's word that this was the best price they could get.

What they did not know was that the buyer of their Riverside Piazza unit was the wife of their agent's boss, and that she re-sold it almost immediately for \$945,000, making a hefty profit.

Yesterday, Justice Choo Han Teck ruled in favour of the Yuens, who had sued ERA for the "secret profit" made in the second deal.

Justice Choo found that the conduct of agent Jeremy Ang and his boss, Mr Mike Parikh, senior group division director at ERA, amounted to breach of duty and fraud.

He also had a stern reminder for the industry of its ethical responsibilities, as it had emerged in court that such practices were common.

The judge concluded that it was Mr Parikh who wanted to buy the flat in order to make a quick profit during the property boom.

To distance himself from the deal, he used his wife, Madam Natassha Sadiq, as the buyer and Mr Ang as the seller's agent, the judge found.

Mr Ang was the link but Mr Parikh was the person behind the scheme, and his position made his subordinate's breach of contract even more reprehensible.

The misconduct was of such magnitude that the judge said he felt bound to make the reasons clear in his judgment so that no property agent could now claim ignorance.

When a property agent is engaged to sell or buy property, he has a responsibility to act in the interests of the person who appointed him - not his own, or his friends', or his relatives' or his boss', said the judge.



WHAT THE JUDGE SAID: Justice Choo Han Teck (left) said that Mr Parikh and Mr Ang were ethically wrong and in breach of contract by creating a conflict of interest between their client and themselves.

ARRANGEMENTS BASED ON DECEPTION
"Jeremy's duty to act honestly required him to disclose his boss' interest in the sale and purchase. The arrangements made and carried out by him in collaboration with Mike and his wife Natassha depended on deception."

- Justice Choo

MANY OWNERS, BUYERS AT RISK

"Mike has 200 agents working for him and we do not know how many agents the defendant has, nor how many housing agents there are in all. This kind of misconduct is never easy to discover because it is carried out in stealth and in breach of trust and far too many homeowners and potential purchasers are at risk. The defendant and its two agents have done a grave disservice to the honourable and honest members in their rank."

- Justice Choo

"This responsibility that the agent bears is the foundation of the ethical rules and contractual principles that prohibit an agent from acting in conflict of interests and reaping secret profits for himself or his friends."

Madam Sadiq was a party to the plan carried out by her husband and Mr Ang.

"The result of the concerted efforts of Jeremy, Mike and Natassha resulted in the plaintiffs selling their flat for less than what they might have had they been properly and honestly advised," said the judge.

Justice Choo rejected the testimony of ERA's top brass - president Jack Chua and senior vice-president Marcus Chu - that the two men had done nothing wrong.

The judge said it was clear why they thought so - Mr Chu admitted in court that he and others in the company, as well as agents in other companies, had done the same thing.

Justice Choo also rejected arguments by ERA that it was not liable for the actions of its agents, who are "independent contractors".

The option form had ERA's logo printed on it; the commission agreement was

between Madam Wong and ERA; and the newspaper advertisements sought to persuade the public that they would have the backing of the company and its network by engaging an ERA agent.

It was also ERA - not Mr Ang - which took the couple to the Small Claims Tribunal when they refused to pay the commission on the sale.

Yesterday, a relieved Madam Wong said: "Naturally, I'm very happy. I respect the decision of the court."

In a statement, ERA president Jack Chua said: "ERA intends to appeal the court decision that finds our company liable as we did not benefit from the transaction."

Mr Jeff Foo, president of the Institute of Estate Agents, would only say the case could have been prevented if real estate agencies and their agents are licensed.

He said: "In this way, the industry will be regulated and everybody can be held responsible and accountable for their actions."

The institute has a code of conduct and ethics for members.

Mr Ang is not a member of IEA.

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Additional reporting by Diana Othman



ERA senior agent Mike Parikh got his wife Madam Sadiq (above) to buy a flat sold by his subordinate Mr Ang (below). The flat was resold for a hefty profit within weeks.

PHOTOS: ST FILE, LIANHE ZAOBAO



Timeline of events

WHO'S WHO:

- **The plaintiffs:** Mr Yuen Chow Hin, 50, and his wife, Madam Wong Wai Fan, 48.
- **The agent:** Mr Jeremy Ang, 40, who was hired by ERA senior director Mike Parikh after he was retrenched in 1999.
- **The boss and his wife:** ERA senior group division director Mike Parikh, 44, and his wife, Madam Natassha Sadiq, 40.

WHAT HAPPENED

- **June 2007:** The Yuens appoint Mr Ang to sell their Riverside Piazza apartment.

The agent says the market value is between \$650,000 and \$700,000, and says a "regular client" is interested in buying the property. No valuation is done and Mr Ang omits to mention that the interested buyer is his boss' wife.

Mr Ang does not advertise the property for sale.

- **July 7 and July 9:** Mr Parikh advertises the property for sale on behalf of his wife, Madam Sadiq, before she has an option to buy.
- **July 12:** The Yuens give Madam Sadiq an option to buy for \$688,000.
- **July 14:** Mr Parikh places a third ad, setting the price at \$945,106 and saying the property has en bloc potential. A buyer responds, and Mr Parikh handles the deal.
- **July 18:** Madam Sadiq grants the buyer an option to buy at \$945,000.
- **July 25:** The new buyer exercises the option.
- **July 28:** Madam Sadiq exercises her option from the Yuens.
- **October 2007:** The couple discover the flat was resold after the CPF Board asks why they sold well below the valuation obtained by the new buyer.
- **Dec 19, 2007:** The couple find out that Madam Sadiq is married to Mr Ang's team leader, Mr Mike Parikh.

Rights of Estate Agent & Salesperson



1. Remuneration
 - No fixed commission rates
 - Negotiable between client and salesperson
2. Rightful claim of commission → Effective cause of sales / rent
 - An **introduction subsequently resulted** in a sale / lease within a reasonable period of time **without breaking the chain of causation**.
 - *Causation is the "causal relationship between conduct and result"*
3. No Reimbursement
 - Risk
 - Incurred costs - Not claimable if transactions fall through
4. Rights and duties are subjected to Estate Agency Agreement
 - Standard Contract
 - **2 Types → Exclusive and Non Exclusive**
 - Right to claim against client in court
 - Clauses cannot be amended, varied or deleted

Example of Estate Agency Agreement

HOME

ABOUT US

LEGISLATION &
GUIDELINES

CONSUMERS

PROFESSIONALS

INDUSTRY
DEVELOPMENT

NEWS &
PUBLICATIONS

USEFUL LINKS

FAQ

Professionals →



Real Estate Agency work
during COVID-19



Browse e-services for
property agencies



Check CPD fulfilment status
at CPD microsite

Appeal Process

Salesperson Registration
Matters

Practising Director/Partner
Registration Matters

Estate Agents Licensing
Matters

Key Statistics

Agreements & Checklists

Complaint & Disciplinary
Management

Dispute Resolution Schemes

E-Services

Agreements & Checklists

← Consumers



Information for consumers
during COVID-19



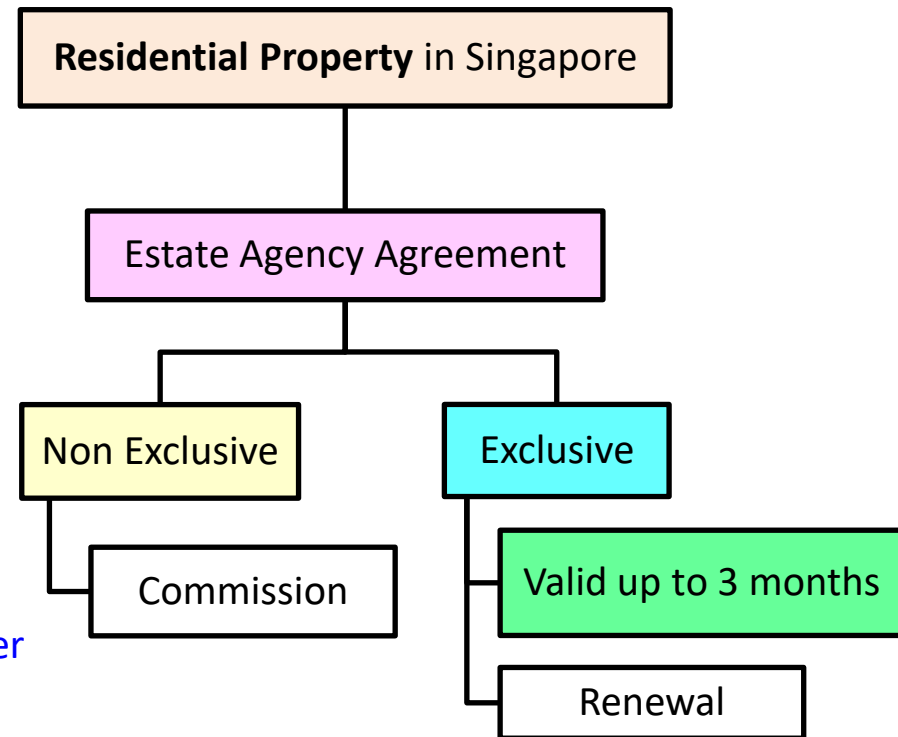
The art of engaging a
property agent



Check if your agent is
registered

Estate Agency Agreement - Application of Estate Agency Agreement

1. All Estate Agencies must use this agreement
2. Standard Contract
 - Processing under Dispute Resolution Schemes
3. Transacted Property
 - Properties zoned “Residential”
 - Partially used for **residential purposes**
4. Not applicable for:
 - Property under construction sold by developer
 - Property under Enbloc Sales
 - Overseas Properties
 - Appoint by existing tenant to find a replacement tenant
5. Important clauses of Prescribe Estate Agency Agreement
 - Disclosure Requirement reference to PSM
 - Cobroking Terms
 - Additional Terms - **Cannot conflict** with the prescribed terms



**EXCLUSIVE ESTATE AGENCY AGREEMENT FOR
THE SALE OF RESIDENTIAL PROPERTY**
*(1) ORIGINAL/_____(2) RENEWAL OF AGREEMENT

This form is prescribed by the Council for Estate Agencies ("CEA") under the Estate Agents Act 2010 for use when an estate agent is exclusively authorised or engaged by a prospective seller to introduce a buyer of residential property⁽³⁾ in Singapore.

Note: Where a number in brackets (e.g.⁽¹⁾) appears in this Agreement, please read the explanatory note that bears the corresponding number in Schedule 1 to this Agreement. Where any space provided below is insufficient, the relevant particulars shall be written on a separate sheet and attached to this Agreement.

1. Parties to Agreement

Agreement Date: / / (dd/mm/yyyy)

Seller (1) Name: _____ NRIC No.⁽⁴⁾: _____

Address: _____

Seller (2) Name: _____ NRIC No.⁽⁴⁾: _____

Address: _____

Seller (3) Name: _____ NRIC No.⁽⁴⁾: _____

Address: _____

Seller (4) Name: _____ NRIC No.⁽⁴⁾: _____

Address: _____

Name of Estate Agent⁽⁵⁾: _____ Licence No.: _____

Address: _____

2. Appointment of Estate Agent by Seller

The above seller(s) (collectively called "Seller") hereby authorises and engages the Estate Agent, subject to and in accordance with the terms of this Agreement, to introduce to him a Buyer⁽⁶⁾ of the following Property on an **exclusive** basis^{(7) (8)}:

_____ ("Property")

3. Validity Period/Renewal

(a) This Agreement shall take effect on the *Agreement Date/ _____ ("Commencement Date")⁽¹⁾ and shall expire on _____ (dd/mm/yyyy) or 3 calendar months after the Commencement Date, whichever date is earlier ("Expiry Date"). In this Agreement, the period from the Commencement Date to the Expiry Date shall be referred to as the "Validity Period".

(b) This Agreement can only be renewed or extended in the same prescribed Form ("Renewal of Agreement"), with the necessary changes to the Commencement Date and Expiry Date, and not in any other manner. The parties may enter into any number of such Renewal of Agreements but the term of each Renewal of Agreement shall not exceed 3 calendar months.

4. Scope of Agency and Duties of Estate Agent

The Estate Agent's duties shall be as set out in Schedule 2 to this Agreement, in addition to the duties placed on the Estate Agent by the other terms in this Agreement and any written law.

5. Expected Sale Price

The expected sale price shall be Singapore Dollars _____ (\$ _____)⁽⁹⁾.

6. Commission

(a) If during the Validity Period, the Seller enters into a binding agreement for sale and purchase⁽¹⁰⁾ with a Buyer, whether such Buyer is introduced by the Estate Agent or not, the Seller shall pay the Estate Agent commission of *S\$ _____ /at the rate of _____ %^{(1) (11)} of the transacted price of the Property at the time of completion of the Property transaction.

GST is payable upon the commission: ☐ Yes ☐ No

If Yes, the commission specified is *inclusive / exclusive⁽¹⁾ of GST.

(b) If the Property is sold after the Validity Period but within 3 calendar months after the Expiry Date, the Seller shall be liable to pay commission to the Estate Agent if the Buyer is a person whom the Estate Agent had introduced to the Seller during the Validity Period.

- (c) The Seller shall have no obligation to pay any commission to the Estate Agent if completion of the Property transaction falls through without fault on the part of the Seller.
- (d) In the case of HDB property, if completion of the Property transaction falls through by reason of the Seller's ineligibility to sell under HDB rules or regulations, the Seller shall have no obligation to pay any commission to the Estate Agent.

7. Disclosure Requirements

- (a) The Estate Agent or Salesperson * has / does not⁽¹⁾⁽¹²⁾ have a conflict or potential conflict of interest in acting for the Seller. If the Estate Agent or Salesperson has a conflict or potential conflict of interest, the details are as follows:

Read Conflict of Interest in PSM

- (b) If the Estate Agent or Salesperson has declared that there is no conflict or potential conflict of interest but a conflict or potential conflict of interest only arises (or he becomes aware of the conflict or potential conflict of interest) after the execution of this Agreement, the conflict or potential conflict of interest must be immediately disclosed in writing to the Seller. Upon such disclosure, the Estate Agent and Salesperson may continue to act for the Seller only if the Seller, being fully informed, consents in writing to the Estate Agent and Salesperson continuing to act for him.

8. Property Inspection and Co-broking

- (a) The Seller agrees to allow the Estate Agent to show the property to potential Buyer(s) (including their agents) at mutually agreeable time(s).
- (b) The Estate Agent *may / may not⁽¹⁾ co-operate or co-broke with another Estate Agent to secure Buyers for the Property.
- (c) If co-broking is allowed, the commission may be shared between the Estate Agent and a co-broking agent in such amounts as may be agreed between them but the Seller is not liable to pay any commission to the co-broking agent.

9. Warranty by Seller

The Seller warrants that he is *the owner of / duly authorised⁽¹⁾ to sell the Property.

10. Schedules and Notes

The Schedules and Notes to or in this Agreement form part of this Agreement.

11. Applicable Law and Dispute Resolution

- (a) This Agreement shall be governed by the laws of Singapore.
- (b) Any dispute between the Seller and the Estate Agent arising out of or in connection with this Agreement (including any question regarding its existence, validity or termination) shall first be resolved in the following manner:

Mediation First

- (i) The parties shall proceed to mediation under the mediation scheme prescribed by the CEA unless the Seller elects in writing not to mediate.
- (ii) The Estate Agent may ask the Seller in writing whether he elects to mediate or not. If the Seller does not reply or make any election within three weeks of receipt of such enquiry, he shall be deemed to have elected in writing not to proceed to mediation.

Arbitration

- (iii) If the dispute remains outstanding (i.e. the Seller has elected not to mediate or the dispute is not resolved by mediation), the dispute shall be referred to and finally resolved by arbitration in Singapore under the arbitration scheme prescribed by the CEA, in accordance with such rules as may be prescribed, unless the Seller elects in writing not to arbitrate.
- (iv) The Estate Agent may ask the Seller in writing whether he elects to resolve the dispute by arbitration or not. If the Seller does not reply or expressly make any election within three weeks of receipt of such enquiry, he shall be deemed to have elected in writing not to resolve the dispute by arbitration and neither party shall be bound to proceed to arbitration.

12. Additional Terms

Note: The printed terms prescribed in this form of Agreement cannot be deleted or varied. If the parties wish at any time to agree to or add on any other terms, they must be in writing, dated, inserted as Additional Terms below and initialed by the parties. If the space below is insufficient, the Additional Terms are to be written/printed in black ink on a separate sheet of paper which must be **pink** in color and in a font **not smaller** than the font of the above terms.

The Additional Terms cannot conflict with, vary or otherwise limit the prescribed terms⁽¹³⁾ of this Agreement.

Read Agreement in PSM

Note: The parties are to initial every page of this Agreement including the Schedules and any attachments.

Signed by Seller (1) *Through the interpretation of _____ Date: _____	Signed by interpreter: _____ Interpreter's NRIC No. ⁽⁴⁾ : _____ Date: _____
Signed by Seller (2) *Through the interpretation of _____ Date: _____	Signed by interpreter: _____ Interpreter's NRIC No. ⁽⁴⁾ : _____ Date: _____
Signed by Seller (3) *Through the interpretation of _____ Date: _____	Signed by interpreter: _____ Interpreter's NRIC No. ⁽⁴⁾ : _____ Date: _____
Signed by Seller (4) *Through the interpretation of _____ Date: _____	Signed by interpreter: _____ Interpreter's NRIC No. ⁽⁴⁾ : _____ Date: _____

Signed by *Salesperson for and on behalf of the Estate Agent / Estate Agent⁽¹⁾ ⁽¹⁴⁾
Name of *Salesperson / Estate Agent⁽¹⁾: _____
NRIC No. ⁽⁴⁾: _____
Address: _____
*Salesperson Registration/Estate Agent Licence No. ⁽¹⁾: _____
Telephone number: _____
Date: _____

Note: The Estate Agent must provide the original or a copy of this Agreement to the Seller immediately upon signing.

EXPLANATORY NOTES

- (1) *means delete if not applicable. All deletions must be initialed by the Seller.
- (2) To state which renewal e.g. 1st, 2nd or 3rd, etc.
- (3) This form of agreement is only applicable if all or part of the property to be sold comprises residential property in Singapore.
- (4) If there is no NRIC No., please write another number such as FIN, passport or company incorporation/registration No., as the case may be.
- (5) To insert full name of Estate Agent.
- (6) Buyer includes a potential Buyer.
- (7) In an exclusive appointment, the Seller agrees not to appoint any other agent during the Validity Period. Should the Seller find his own Buyer or sell the Property through another agent, he would be liable to pay commission to the Estate Agent.
- (8) If there is more than one Property, the relevant addresses may be recorded on a separate sheet and attached to this Agreement. Alternatively, a separate agreement may be used for each Property.
- (9) The Seller does not confer upon the Estate Agent, by virtue of this clause, the right to make or accept an offer on behalf of the Seller. The expected sale price is for the purpose of listing or advertising only.
- (10) An agreement for sale and purchase may take the form of an executed sale and purchase agreement or an option to purchase which has been exercised by the Buyer.
- (11) The amount or rate of commission is negotiable between the Seller and the Estate Agent.
- (12) The Code of Ethics and Professional Client Care prescribes the Estate Agent's and Salesperson's duty to disclose and avoid any potential or actual conflict of interest.
- (13) Where the parties have made any choice above, they may subsequently vary such choice in writing but such variation must be dated and initialed by the parties. The parties may also vary the non-prescribed Additional Terms but such variation must be in writing, dated and initialed by the parties.
- (14) If there is a Salesperson representing the Estate Agent in the proposed sale of the Property, the Salesperson shall sign and fill in his particulars. Otherwise, if the Estate Agent acting in the proposed sale of the Property is a natural person, he shall sign and fill in his particulars. If there is more than one such Salesperson or Estate Agent who is a natural person acting in the proposed sale of the Property, their name(s) and particular(s) shall also be written, if necessary, on a separate sheet and attached to this Agreement.



DUTIES OF ESTATE AGENT

The Estate Agent shall:

- (a) obtain information in relation to the Property from the Seller.
- (b) market and promote the Property with reasonable diligence in accordance with the Seller's reasonable instructions. Unless otherwise agreed in writing by the Seller, such marketing and promotion shall be at the Estate Agent's cost.
- (c) arrange for potential Buyers to view the Property.
- (d) provide reasonable assistance and advice to the Seller throughout the process of sale of the Property.
- (e) represent the Seller in negotiations with any prospective Buyer in accordance with his instructions.
- (f) promptly forward to the Seller all offers, proposals or expressions of interest from potential Buyers or their agents.
- (g) advance the Seller's interest unaffected by any interest of the Estate Agent, Salesperson or any other person.
- (h) assist the Seller to enter into a binding agreement for sale and purchase with the Buyer and reasonably explain to the Seller all relevant forms and documents. However, if the Estate Agent is in doubt on any matter, he shall state his doubt and advise the Seller to seek advice from appropriate professionals.
- (i) comply with all reasonable instructions and requests of the Seller in relation to the transaction.

Note: The following are also applicable in the case of HDB property

- (j) advise the Seller on the eligibility of the Seller to sell his HDB flat.
- (k) explain and go through the resale checklist with the Seller of the HDB flat and check with the Seller on whether the renovations made were duly authorised.
- (l) assist the Seller of the HDB flat to submit such forms, documents and/or information as may be required by HDB to process the application for sale.

Important Notes:

1. More duties expected as compared to non exclusive estate agency agreement.
2. Read Professional Service Manual about these duties

Example of Non-Exclusive Estate Agency Agreement

ESTATE AGENCY AGREEMENT FOR THE SALE OF RESIDENTIAL PROPERTY

This form is prescribed by the Council for Estate Agencies ("CEA") under the Estate Agents Act 2010 for use when an estate agent is authorised or engaged by a prospective seller to introduce a buyer of residential property⁽²⁾ in Singapore.

Note: Where a number in brackets (e.g.⁽¹⁾) appears in this Agreement, please read the explanatory note that bears the corresponding number in Schedule 1 to this Agreement. Where any space provided below is insufficient, the relevant particulars should be written on a separate sheet and attached to this Agreement.

1. Parties to Agreement

Agreement Date: / / (dd/mm/yyyy)

Seller (1) Name: _____ NRIC No.⁽³⁾: _____

Address: _____

Seller (2) Name: _____ NRIC No.⁽³⁾: _____

Address: _____

Seller (3) Name: _____ NRIC No.⁽³⁾: _____

Address: _____

Seller (4) Name: _____ NRIC No.⁽³⁾: _____

Address: _____

Name of Estate Agent⁽⁴⁾: _____ Licence No.: _____

Address: _____

2. Appointment of Estate Agent by Seller

The above seller(s) (collectively called "Seller") hereby authorises and engages the Estate Agent⁽⁵⁾, subject to and in accordance with the terms of this Agreement, to introduce to him a Buyer⁽⁶⁾ of the following Property⁽⁷⁾:

Transacted Property
Address _____ ("Property")

3. Scope of Agency and Duties of Estate Agent

The Estate Agent's duties shall be as set out in Schedule 2 to this Agreement, in addition to the duties placed on the Estate Agent by the other terms in this Agreement and any written law.

4. Commission

(a) If the Seller enters into a binding agreement for the sale and purchase⁽⁸⁾ of the Property with a Buyer introduced by the Estate Agent, the Seller shall pay the Estate Agent commission of *S\$ _____ / at the rate of _____%⁽¹⁾⁽⁹⁾ of the transacted price of the Property at the time of completion of the Property transaction pursuant to the agreement for sale and purchase.

GST is payable upon the commission: ☐ Yes ☐ No

If Yes, the commission specified is *inclusive / exclusive⁽¹⁾ of GST.

Note: If a Buyer introduced by the Estate Agent has entered into a sale and purchase agreement with the Seller in respect of the Property, the name and address of the Buyer and the date of the sale and purchase agreement may be recorded as follows: _____

Buyer's particulars (3rd parties)

(b) The Seller shall have no obligation to pay any commission to the Estate Agent if completion of the Property transaction falls through without fault on the part of the Seller.

(c) In the case of HDB property, if completion of the Property transaction falls through by reason of the Seller's ineligibility to sell under HDB rules or regulations, the Seller shall have no obligation to pay any commission to the Estate Agent.

5. Disclosure Requirements

(a) The Estate Agent or Salesperson *has / does not have⁽¹⁾⁽¹⁰⁾ a conflict or potential conflict of interest in acting for the Seller. If the Estate Agent or Salesperson has a conflict or potential conflict of interest, the details are as follows:

Read Conflict of Interest in
PSM

- (b) If the Estate Agent or Salesperson has declared that there is no conflict or potential conflict of interest but a conflict or potential conflict of interest only arises (or he becomes aware of the conflict or potential conflict of interest) after the execution of this Agreement, the conflict or potential conflict of interest must be immediately disclosed in writing to the Seller. Upon such disclosure, the Estate Agent and Salesperson may continue to act for the Seller only if the Seller, being fully informed, consents in writing to the Estate Agent and Salesperson continuing to act for him.

6. Property Inspection and Co-brokering

- (a) The Seller agrees to allow the Estate Agent to show the property to potential Buyer(s) (including their agents) at mutually agreeable time(s).
- (b) The Estate Agent *may / may not⁽¹⁾ co-operate or co-broke with another Estate Agent to secure Buyers for the Property.
- (c) If co-brokering is allowed, the commission may be shared between the Estate Agent and a co-brokering agent in such amounts as may be agreed between them but the Seller is not liable to pay any commission to the co-brokering agent.

7. Warranty by Seller

The Seller warrants that he is *the owner of / duly authorised⁽¹⁾ to sell the Property.

8. Schedules and Notes

The Schedules and Notes to or in this Agreement form part of this Agreement.

9. Applicable Law and Dispute Resolution

- (a) This Agreement shall be governed by the laws of Singapore.
- (b) Any dispute between the Seller and the Estate Agent arising out of or in connection with this Agreement (including any question regarding its existence, validity or termination) shall first be resolved in the following manner:

Mediation First

- (i) The parties shall proceed to mediation under the mediation scheme prescribed by the CEA unless the Seller elects in writing not to mediate.

- (ii) The Estate Agent may ask the Seller in writing whether he elects to mediate or not. If the Seller does not reply or make any election within three weeks of receipt of such enquiry, he shall be deemed to have elected in writing not to proceed to mediation.

Arbitration

- (iii) If the dispute remains outstanding (i.e. the Seller has elected not to mediate or the dispute is not resolved by mediation), the dispute shall be referred to and finally resolved by arbitration in Singapore under the arbitration scheme prescribed by the CEA, in accordance with such rules as may be prescribed, unless the Seller elects in writing not to arbitrate.
- (iv) The Estate Agent may ask the Seller in writing whether he elects to resolve the dispute by arbitration or not. If the Seller does not reply or expressly make any election within three weeks of receipt of such enquiry, he shall be deemed to have elected in writing not to resolve the dispute by arbitration and neither party shall be bound to proceed to arbitration.

10. Additional Terms

Note: The printed terms prescribed in this form of Agreement cannot be deleted or varied. If the parties wish at any time to agree to or add on any other terms, they must be in writing, dated, inserted as Additional Terms below and initialed by the parties. If the space below is insufficient, the Additional Terms are to be written/printed in black ink on a separate sheet of paper which must be **pink** in color and in a font **not smaller** than the font of the above terms.

The Additional Terms cannot conflict with, vary or otherwise limit the prescribed terms⁽¹¹⁾ of this Agreement.

[Read Agreement in PSM](#)

Note: The parties are to initial every page of this Agreement including the Schedules and any attachments.

Signed by Seller (1)

*Through the interpretation of _____

Date: _____

Signed by interpreter: _____

Interpreter's NRIC No.⁽³⁾: _____

Date: _____

Signed by Seller (2)

*Through the interpretation of _____

Date: _____

Signed by interpreter: _____

Interpreter's NRIC No.⁽³⁾: _____

Date: _____

Signed by Seller (3)

*Through the interpretation of _____

Date: _____

Signed by interpreter: _____

Interpreter's NRIC No.⁽³⁾: _____

Date: _____

Signed by Seller (4)

*Through the interpretation of _____

Date: _____

Signed by interpreter: _____

Interpreter's NRIC No.⁽³⁾: _____

Date: _____

Signed by *Salesperson for and on behalf of the Estate Agent / Estate Agent⁽¹⁾⁽¹²⁾Name of *Salesperson / Estate Agent⁽¹⁾: _____NRIC No.⁽³⁾: _____

Address: _____

*Salesperson Registration / Estate Agent Licence No.⁽¹⁾: _____

Telephone number: _____

Date: _____

Note: The Estate Agent must provide the original or a copy of this Agreement to the Seller immediately upon signing.

EXPLANATORY NOTES

- (1) *means delete if not applicable. **All** deletions must be initialed by the Seller at the time they are made.
- (2) This form of agreement is only applicable if all or part of the property to be sold comprises residential property in Singapore.
- (3) If there is no NRIC No., please write another number such as FIN, passport or company incorporation/registration No., as the case may be.
- (4) To insert full name of the Estate Agent.
- (5) The Estate Agent is not an exclusive agent and the Seller may also sell the Property himself or through another agent.
- (6) Buyer includes a potential Buyer.
- (7) If there is more than one Property, the relevant addresses may be recorded on a separate sheet and attached to this Agreement. Alternatively, a separate agreement may be used for each Property.
- (8) An agreement for sale and purchase may take the form of an executed sale and purchase agreement or an option to purchase which has been exercised by the Buyer.
- (9) The amount or rate of commission is negotiable between the Seller and the Estate Agent.
- (10) The Code of Ethics and Professional Client Care prescribes the Estate Agent's and Salesperson's duty to disclose and avoid any potential or actual conflict of interest.
- (11) Where the parties have made any choice above, they may subsequently vary such choice in writing but such variation must be dated and initialed by the parties. The parties may also vary the non-prescribed Additional Terms but such variation must be in writing, dated and initialed by the parties.
- (12) If there is a Salesperson representing the Estate Agent in the proposed sale of the Property, the Salesperson shall sign and fill in his particulars. Otherwise, if the Estate Agent acting in the proposed sale of the Property is a natural person, he shall sign and fill in his particulars. If there is more than one such Salesperson or Estate Agent who is a natural person acting in the proposed sale of the Property, their name(s) and particular(s) shall also be written, if necessary, on a separate sheet and attached to this Agreement.

SCHEDULE 2
DUTIES OF ESTATE AGENT

The Estate Agent shall:

- (a) provide reasonable assistance and advice to the Seller throughout the process of sale of the Property.
- (b) represent the Seller in negotiations with any prospective Buyer in accordance with his instructions.
- (c) promptly forward to the Seller all offers, proposals or expressions of interest from potential Buyers or their agents.
- (d) advance the Seller's interest unaffected by any interest of the Estate Agent, Salesperson or any other person.
- (e) assist the Seller to enter into a binding agreement for sale and purchase with the Buyer and reasonably explain to the Seller all relevant forms and documents. However, if the Estate Agent is in doubt on any matter, he shall state his doubt and advise the Seller to seek advice from appropriate professionals.
- (f) comply with all reasonable instructions and requests of the Seller in relation to the transaction.

Note: The following are also applicable in the case of HDB property

- (g) advise the Seller on the eligibility of the Seller to sell his HDB flat.
- (h) explain and go through the resale checklist with the Seller of the HDB flat and check with the Seller on whether the renovations made were duly authorised.
- (i) assist the Seller of the HDB flat to submit such forms, documents and/or information as may be required by HDB to process the application for sale.